

Master Supply Agreement

Agreement number MSA-2026-001, between Acme Logistics (the Buyer) and Shenzhen Precision Parts (the Supplier), effective 2025-08-18.

1. Scope of Agreement

This Master Supply Agreement governs the purchase of goods described in any purchase order issued under it. The Supplier shall deliver the goods in accordance with the agreed Incoterms 2020 rules stated on each purchase order.

2. Delivery Terms

Delivery shall be made to the destination named on the purchase order. Title and risk pass in accordance with the stated Incoterm.

The Supplier shall notify the Buyer within 24 hours of becoming aware of any event likely to delay a shipment by more than two working days.

3. Lead Times

Standard lead time for ocean freight is 35 calendar days from the date of the purchase order. Air freight lead time is 7 calendar days.

4. Service Levels

The Supplier shall maintain an on-time delivery rate of not less than 95 percent measured over any rolling three month period.

4.1 Measurement

On-time means arrival at the destination on or before the estimated time of arrival confirmed at the time of booking.

4.2 Late Delivery

Where a shipment arrives after the confirmed estimated time of arrival, the Supplier shall pay a penalty of 2 percent of the shipment value for each complete week of delay, capped at 10 percent of the value of the affected purchase order.

The penalty in this clause is the Buyer's sole financial remedy for late delivery and does not apply where the delay is caused by an event under clause 7.

5. Quality and Inspection

The Buyer may inspect goods within 10 working days of arrival and reject any goods that do not conform to the specification.

6. Payment

Payment terms are 60 days from the date of a valid invoice. Invoices shall quote the purchase order number and the shipment reference.

7. Force Majeure

Neither party is liable for failure to perform caused by an event beyond its reasonable control, including port closure, strike, or natural disaster, provided the affected party notifies the other within five working days.

8. Term and Termination

This Agreement runs for 24 months from the effective date and renews automatically for successive 12 month periods unless either party gives 90 days notice.